FEASIBILITY

Feasibility: five ways to use the building

In the realistic case the five plans need $4.3M to $19.0M to build, not counting what is paid for the property. Once open they make $388k to $991k profit a year, so they earn the build money back in 11.0 to 23.4 years. Only Lean hold earns it back faster than a typical investment property (about 12 years); none meets the 10-year goal. In the best case they earn it back in 3.3 to 7.2 years; in the worst case four of the five lose money.

Not counting what is paid for the property

Purchase price left out. Every number on this page leaves out what is paid for the property, its closing costs and fees. Every dollar paid for the property means less profit for each dollar spent and a longer wait to earn the money back.

Hall bookings matter most in the three plans where the owners run the halls: the realistic case assumes 220 events a year across both halls.

The plan cards follow the case you pick below; the range chart shows all three at once.

Printed view: the plan cards, the businesses and the column costs show the realistic case; the range chart and its table show all three cases. Nothing here counts what is paid for the property.

01 · FIVE PLANS

What each plan costs and what it makes

Each card shows the **realistic** case. “Profit each year” is before any loan payments. None of these numbers count what is paid for the property.

Realistic case: the build money comes back in 11.0 years (Lean hold) to 23.4 years (Lease everything). Only Lean hold earns it back faster than a typical investment property (about 12 years); none meets the 10-year goal.

Lease everything

Opens in about 18 months

× Slower than a typical investment property (about 12 years)

Money to build it (one-time) Not counting what is paid for the property	$14.9M	**Profit each year** Before any loan payments	**$638k**
Money coming in each year	$1.2M	**Years to earn back the build money**	**23.4 years**
Money going out each year	$544k	Profit each year for every $100 spent	$4.27

Biggest yearly costs: Upkeep: parking lot, lighting, landscaping, common areas ($179k); Property tax ($163k).

What gets built. The full program as drawn, but every space is leased: an outside operator rents Hall A and Hall B, a playground operator rents the kids’ center, shops and flex space are leased, and a fuel company rents the frontage land for a gas station.

Who runs what. Tenants only

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$361k
Flex space rents (open, warehouse-style units)	$153k
Kids' center rent	$81k
Hall operator rent	$95k
Tenants repay their share of tax, insurance and upkeep	$396k
Land rent from the gas station	$95k
Money coming in each year	**$1.2M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$24k
Property tax	$163k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$58k
Set-aside for roof and AC repairs	$32k
Money going out each year	**$544k**

Profit each year: $638k.

What the build money pays for

One-time, realistic case

Item	One-time
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	$10.2M
Design, permits and a cushion for surprises	$2.2M
Signing tenants: build-out allowances and broker fees	$1.9M
Holding the building and loan interest during the work	$641k
Money to build it (one-time)	**$14.9M**

Includes $1.1M to take out four roof columns in the halls.

Full plan (as drawn)

Opens in about 18 months

× Slower than a typical investment property (about 12 years)

Money to build it (one-time) Not counting what is paid for the property	$19.0M
Money coming in each year	$3.4M
Money going out each year	$2.4M
Profit each year Before any loan payments	**$991k**
Years to earn back the build money	**19.2 years**
Profit each year for every $100 spent	$5.20

> Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($561k); Halls: food for catered events ($420k).

What gets built. Everything at once: Hall A and Hall B with twin kitchens and dining, the 18,000 SF kids' playground, about 22 small shops, flex space split into rentable units and the fuel pad.

Who runs what. Owners' operating company runs the halls. Tenants: shops, flex, kids' center, fuel.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$361k
Flex space rents (open, warehouse-style units)	$153k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$199k
Hall bookings: room rental	$1.0M
Hall bookings: catering	$1.4M
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.4M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$21k
Property tax	$107k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$43k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$420k
Halls: catering staff	$379k
Halls: event-day staff (setup, cleaning, security)	$220k
Halls: card fees, marketing, supplies, repairs	$322k
Halls: year-round staff, utilities, insurance, equipment lease	$561k
Money going out each year	**$2.4M**

Profit each year: $991k.

What the build money pays for

One-time, realistic case

Item	One-time
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	$10.2M
Finishing the halls and kitchens	$5.0M
Design, permits and a cushion for surprises	$2.2M
Signing tenants: build-out allowances and broker fees	$1.1M
Holding the building and loan interest during the work	$511k
Money to build it (one-time)	**$19.0M**

Includes $1.1M to take out four roof columns in the halls.

Full plan, built efficiently

Opens in about 15 months

× Slower than a typical investment property (about 12 years)

Money to build it (one-time) Not counting what is paid for the property	$14.8M
Money coming in each year	$3.3M
Money going out each year	$2.3M
Profit each year Before any loan payments	**$957k**
Years to earn back the build money	**15.5 years**
Profit each year for every $100 spent	$6.46

> Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($621k); Halls: food for catered events ($420k).

What gets built. Same final uses, built leaner: 12 larger shop bays instead of 22, flex left open until leased, roof repaired and coated where sound, HVAC replaced only for the halls and kids' center, existing restroom cores reused, hall furniture and kitchen equipment leased.

Who runs what. Same as the full plan.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$335k
Flex space rents (open, warehouse-style units)	$125k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$189k
Hall bookings: room rental	$1.0M
Hall bookings: catering	$1.4M
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.3M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$19k
Property tax	$95k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$40k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$420k
Halls: catering staff	$379k
Halls: event-day staff (setup, cleaning, security)	$220k
Halls: card fees, marketing, supplies, repairs	$247k
Halls: year-round staff, utilities, insurance, equipment lease	$621k
Money going out each year	**$2.3M**

Profit each year: $957k.

What the build money pays for

One-time, realistic case

Item	One-time
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	$7.8M
Finishing the halls and kitchens	$4.3M
Design, permits and a cushion for surprises	$1.5M
Signing tenants: build-out allowances and broker fees	$747k
Holding the building and loan interest during the work	$402k
Money to build it (one-time)	**$14.8M**

Includes $1.1M to take out four roof columns in the halls.

Hybrid (phased)

Opens in about 10 months (first step)

× Slower than a typical investment property (about 12 years)

Money to build it (one-time) Not counting what is paid for the property	$13.3M	**Profit each year** Before any loan payments	**$782k**
Money coming in each year	$3.1M	**Years to earn back the build money**	**17.0 years**
Money going out each year	$2.3M	Profit each year for every $100 spent	$5.87

> First step, Hall A only: $10.1M to build and $441k profit a year, earning it back in 22.9 years. Adding Hall B later costs $3.2M more and gives the totals above.

> Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($621k); Halls: food for catered events ($420k).

What gets built. Phase 1: Hall A, Kitchen A, the dining room and the kids' center; the rest is rented in its current condition on short leases. Phase 2 (year 3 in the realistic case): Hall B and Kitchen B once Hall A books about 100 events a year.

Who runs what. Owners' operating company runs the halls. Tenants: kids' center, the rest of the space, fuel.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Rents from space leased as it is	$256k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$168k
Hall bookings: room rental	$1.0M
Hall bookings: catering	$1.4M
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.1M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$13k
Property tax	$62k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$29k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$420k
Halls: catering staff	$379k
Halls: event-day staff (setup, cleaning, security)	$220k
Halls: card fees, marketing, supplies, repairs	$247k
Halls: year-round staff, utilities, insurance, equipment lease	$621k
Money going out each year	**$2.3M**

Profit each year: $782k.

What the build money pays for

One-time, realistic case

Item	One-time
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	$5.7M
Finishing the halls and kitchens	$2.5M
Design, permits and a cushion for surprises	$1.1M
Signing tenants: build-out allowances and broker fees	$503k
Holding the building and loan interest during the work	$244k
Adding Hall B and Kitchen B later	$3.2M
Money to build it (one-time)	**$13.3M**

Includes $550k to take out two roof columns in the halls (Hall A's); Hall B's two are in the cost of adding Hall B.

Lean hold

Opens in about 6 months

≈ Faster than a typical investment property (about 12 years), short of the 10-year goal

Money to build it (one-time) Not counting what is paid for the property	$4.3M
Money coming in each year	$846k
Money going out each year	$458k
Profit each year Before any loan payments	**$388k**
Years to earn back the build money	**11.0 years**
Profit each year for every $100 spent	$9.09

> Biggest yearly costs: Upkeep: parking lot, lighting, landscaping, common areas ($179k); Property tax ($99k).

What gets built. No halls yet. Repair the roof, HVAC, fire systems and parking, split the building into large blocks and rent them in their current condition to service, showroom, church, school, medical or back-office users. The halls stay an option for later.

Who runs what. Tenants only.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Rents from space leased as it is	$494k
Tenants repay their share of tax, insurance and upkeep	$257k
Land rent from the gas station	$95k
Money coming in each year	**$846k**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$18k
Property tax	$99k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$41k
Set-aside for roof and AC repairs	$32k
Money going out each year	**$458k**

Profit each year: $388k.

What the build money pays for

One-time, realistic case

Item	One-time
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	$3.0M
Design, permits and a cushion for surprises	$506k
Signing tenants: build-out allowances and broker fees	$621k
Holding the building and loan interest during the work	$164k
Money to build it (one-time)	**$4.3M**

No columns to take out: this plan does not build the halls.

02 · WAYS TO IMPROVE

What would make it more profitable

Ways to spend less on the build or bring in more each year. Each change is shown on its own, against the realistic case.

PATH TO PROFIT

If these changes happen together

- + One more event a week across the halls
- + $1,000 more per hall booking
- + $60,000 less year-round hall staff
- + Reseal the parking lot instead of repaving
- + Caterers bring and own the kitchen equipment
- + Keep the hall columns instead of removing them OPTIONAL

Plan	Earns back now	Build money with the changes	Profit each year with the changes	Earns back with the changes	If the columns are kept (optional)
Full plan	19.2 years	$18.4M	$1.5M	12.2 years	11.3 years
Efficient full plan	15.5 years	$14.3M	$1.5M	9.5 years	8.6 years
Hybrid	17.0 years	$12.9M	$1.3M	9.6 years	9.2 years

With these changes Efficient full plan and Hybrid meet the 10-year goal, with the columns taken out. Keeping the columns is optional: the owners want open halls, and the plan assumes they come out.

Every change, one plan at a time

Each line shows one change on its own, against the realistic case, and how many years the build money would then take to come back.

Lease everything Now: $14.9M to build, $638k profit a year, earns it back in 23.4 years

More money coming in

Change	Profit each year	Build money (one-time)	Earns back in	Note
Shops 95% leased instead of 85%	+$48k a year	Adds $104k	21.9 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$24k a year	Adds $26k	22.6 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$62k a year	Adds $68k	21.4 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Build money (one-time)	Earns back in	Note
Keep the hall columns and decorate around them	No change	Saves $1.3M	21.3 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $777k	22.2 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $280k	23.0 years	Keep repaving for the worst areas

Change	Profit each year	Build money (one-time)	Earns back in	Note
Insurance shopped 15% cheaper	No change	No change	23.4 years	Needs quotes from two or three brokers

Full plan (as drawn) Now: $19.0M to build, $991k profit a year, earns it back in 19.2 years

More money coming in

Change	Profit each year	Build money (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$258k a year	Adds $46k	15.3 years	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$190k a year	No change	16.1 years	Saturday rates in the area run $6,000–9,000 for 400+ guests
Cater 10% more of the events in-house	+$55k a year	No change	18.2 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$59k a year	No change	18.1 years	Local plated meals run $28–32 per guest; buffets $18–22
Shops 95% leased instead of 85%	+$43k a year	Adds $101k	18.5 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$22k a year	Adds $25k	18.8 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$57k a year	Adds $65k	18.2 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Build money (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$60k a year	No change	18.1 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $1.3M	17.9 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $777k	18.4 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $280k	18.9 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	No change	Saves $877k	18.3 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	No change	Saves $545k	18.7 years	Kitchen shell, hoods and grease trap stay with the owner
Insurance shopped 15% cheaper	No change	No change	19.1 years	Needs quotes from two or three brokers

Full plan, built efficiently Now: $14.8M to build, $957k profit a year, earns it back in 15.5 years

More money coming in

Change	Profit each year	Build money (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$261k a year	Adds $93k	12.2 years	Weddings, engagements, corporate and community events

Change	Profit each year	Build money (one-time)	Earns back in	Note
Charge $1,000 more per hall booking	+$183k a year	Adds $56k	13.0 years	Saturday rates in the area run $6,000–9,000 for 400+ guests
Cater 10% more of the events in-house	+$62k a year	No change	14.5 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$66k a year	No change	14.5 years	Local plated meals run $28–32 per guest; buffets $18–22
Shops 95% leased instead of 85%	+$40k a year	Adds $79k	14.9 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$22k a year	Adds $23k	15.2 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$57k a year	Adds $60k	14.7 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Build money (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$60k a year	No change	14.6 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $1.3M	14.1 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $363k	15.1 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $262k	15.2 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	−$7k a year	Saves $849k	14.7 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	No change	Saves $466k	15.0 years	Kitchen shell, hoods and grease trap stay with the owner
Insurance shopped 15% cheaper	No change	No change	15.4 years	Needs quotes from two or three brokers

Hybrid (phased) Now: $13.3M to build, $782k profit a year, earns it back in 17.0 years

More money coming in

Change	Profit each year	Build money (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$268k a year	No change	12.7 years	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$191k a year	No change	13.7 years	Saturday rates in the area run $6,000–9,000 for 400+ guests
Cater 10% more of the events in-house	+$62k a year	No change	15.8 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$66k a year	No change	15.7 years	Local plated meals run $28–32 per guest; buffets $18–22
Kids' center pays $6.00/SF instead of $4.50	+$25k a year	Adds $20k	16.5 years	Depends on the playground operator's sales
Space leased as it is: 85% leased instead of the realistic case	+$47k a year	Adds $63k	16.2 years	Large blocks lease slowly; this is the upside

Change	Profit each year	Build money (one-time)	Earns back in	Note
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$63k a year	Adds $51k	15.8 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Build money (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$60k a year	No change	15.8 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $655k	16.2 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $363k	16.6 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $262k	16.7 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	No change	Saves $537k	16.4 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	No change	Saves $234k	16.7 years	Kitchen shell, hoods and grease trap stay with the owner
Insurance shopped 15% cheaper	+$5k a year	No change	16.9 years	Needs quotes from two or three brokers

Lean hold Now: $4.3M to build, $388k profit a year, earns it back in 11.0 years

More money coming in

Change	Profit each year	Build money (one-time)	Earns back in	Note
Space leased as it is: 85% leased instead of the realistic case	+$143k a year	Adds $152k	8.3 years	Large blocks lease slowly; this is the upside
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$59k a year	Adds $43k	9.6 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

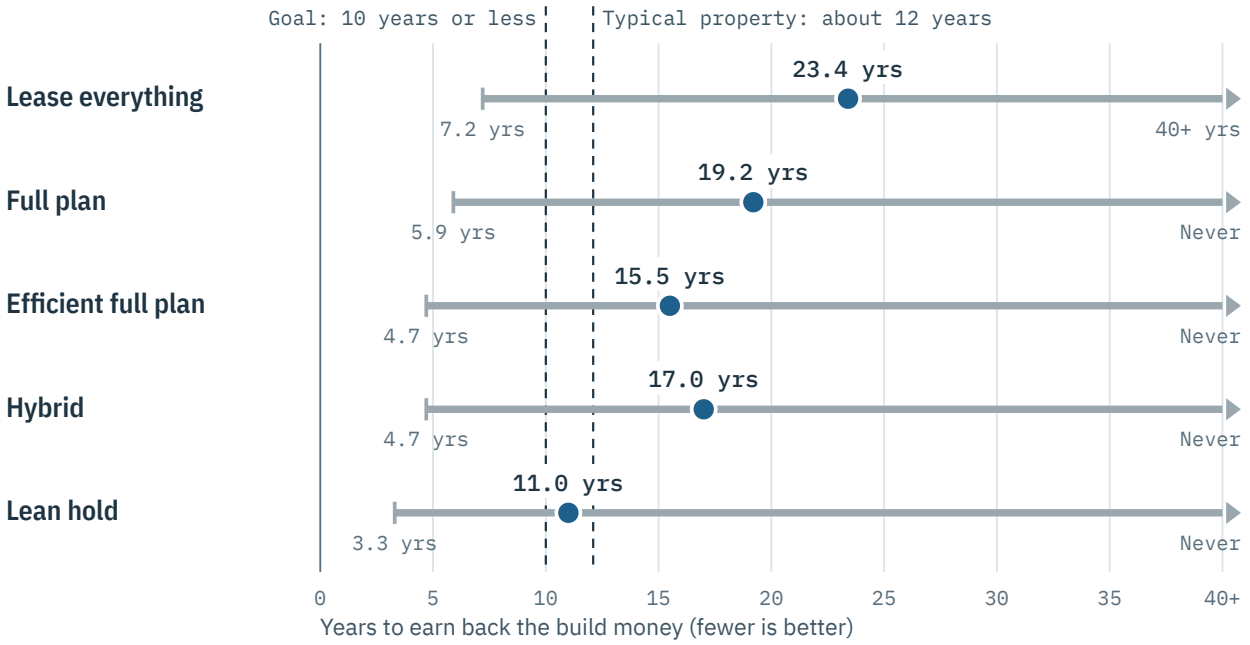
Change	Profit each year	Build money (one-time)	Earns back in	Note
Roof needs only repairs and a coating	No change	Saves $302k	10.2 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $154k	10.6 years	Keep repaving for the worst areas
Insurance shopped 15% cheaper	No change	No change	10.9 years	Needs quotes from two or three brokers

03 · THE RANGE

How long each plan takes to earn back its build money

All three cases at once. Fewer years is better.

In the realistic case only Lean hold earns its build money back faster than a typical investment property (about 12 years); all five do in the best case, none in the worst



Years to earn back the one-time build money, not counting what is paid for the property. Fewer years is better. Each grey bar runs from the best case (left) to the worst case (right); the blue dot is the realistic case. “Never” means the plan loses money in that case, and the chart stops at 40 years. Dashed lines: the 10-year goal and a typical investment property (about 12 years).

The numbers as a table

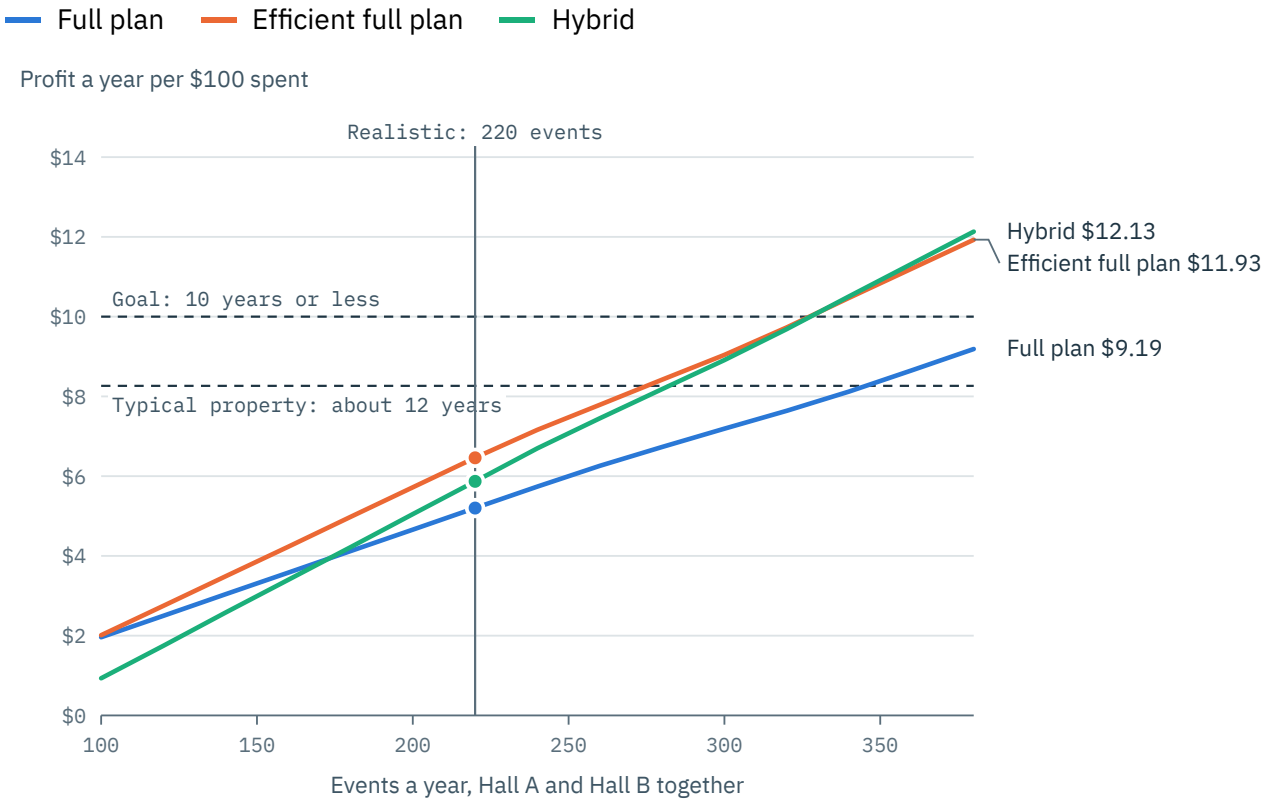
All three cases for every plan

Plan	Case	Money to build it	Profit each year	Years to earn back	Profit per $100 spent
Lease everything	Worst	$24.2M	$299k	More than 40 years	$1.23
Lease everything	**Realistic**	**$14.9M**	**$638k**	**23.4 years**	**$4.27**
Lease everything	Best	$9.2M	$1.3M	7.2 years	$13.81
Full plan	Worst	$29.8M	−$334k	Never, at these numbers	Loses $1.12
Full plan	**Realistic**	**$19.0M**	**$991k**	**19.2 years**	**$5.20**
Full plan	Best	$12.0M	$2.0M	5.9 years	$16.88
Efficient full plan	Worst	$23.3M	−$401k	Never, at these numbers	Loses $1.72
Efficient full plan	**Realistic**	**$14.8M**	**$957k**	**15.5 years**	**$6.46**
Efficient full plan	Best	$9.7M	$2.0M	4.7 years	$21.15
Hybrid	Worst	$16.6M	−$377k	Never, at these numbers	Loses $2.28
Hybrid	**Realistic**	**$13.3M**	**$782k**	**17.0 years**	**$5.87**
Hybrid	Best	$8.6M	$1.8M	4.7 years	$21.45
Lean hold	Worst	$7.1M	−$11k	Never, at these numbers	Loses $0.16
Lean hold	**Realistic**	**$4.3M**	**$388k**	**11.0 years**	**$9.09**
Lean hold	Best	$2.8M	$836k	3.3 years	$30.16

How many events a year the halls need

Everything else stays at the realistic case. Only the number of events a year across Hall A and Hall B changes.

Efficient full plan meets the 10-year goal at about 327 events a year; the realistic case has 220



Profit each year for every $100 of build money, not counting what is paid for the property, for the three plans where the owners run the halls. Everything except bookings stays at the realistic case. Dashed lines: the 10-year goal ($10.00 a year per $100) and a typical investment property (about 12 years) ($8.26 per $100). The solid line marks the realistic 220 events.

The realistic case assumes 220 events a year across Hall A and Hall B.

Full plan: about 345 events a year to beat a typical investment property (about 12 years), and does not meet the 10-year goal in this range.

Efficient full plan: about 275 events a year to beat a typical investment property (about 12 years), and about 327 to meet the 10-year goal.

Hybrid: about 282 events a year to beat a typical investment property (about 12 years), and about 328 to meet the 10-year goal.

The numbers as a table

Each plan at each level of bookings

Events a year	Full plan	Efficient full plan	Hybrid
100	$1.96 (40+ yrs)	$2.01 (40+ yrs)	$0.93 (40+ yrs)
120	$2.50 (40.0 yrs)	$2.75 (36.4 yrs)	$1.75 (40+ yrs)
140	$3.04 (32.9 yrs)	$3.49 (28.7 yrs)	$2.58 (38.8 yrs)
160	$3.58 (27.9 yrs)	$4.23 (23.6 yrs)	$3.40 (29.4 yrs)
180	$4.12 (24.3 yrs)	$4.98 (20.1 yrs)	$4.22 (23.7 yrs)
200	$4.66 (21.5 yrs)	$5.72 (17.5 yrs)	$5.05 (19.8 yrs)
220	**$5.20 (19.2 yrs)**	**$6.46 (15.5 yrs)**	**$5.87 (17.0 yrs)**
240	$5.74 (17.4 yrs)	$7.16 (14.0 yrs)	$6.70 (14.9 yrs)

Events a year	Full plan	Efficient full plan	Hybrid
260	$6.26 (16.0 yrs)	$7.79 (12.8 yrs)	$7.45 (13.4 yrs)
280	$6.73 (14.9 yrs)	$8.42 (11.9 yrs)	$8.18 (12.2 yrs)
300	$7.19 (13.9 yrs)	$9.04 (11.1 yrs)	$8.91 (11.2 yrs)
320	$7.64 (13.1 yrs)	$9.73 (10.3 yrs)	$9.69 (10.3 yrs)
340	$8.12 (12.3 yrs)	$10.47 (9.6 yrs)	$10.51 (9.5 yrs)
360	$8.65 (11.6 yrs)	$11.20 (8.9 yrs)	$11.32 (8.8 yrs)
380	$9.19 (10.9 yrs)	$11.93 (8.4 yrs)	$12.13 (8.2 yrs)

05 · THE BUSINESSES

How each business does on its own

The businesses behind the rents, shown for the **realistic** case. A tenant's profit is what it keeps after paying rent and its share of property costs.

Event halls (Hall A and Hall B), run by the owners

IN SHORT
Covers its costs at about 113 events a year; keeps 24 cents of every sales dollar

Events a year	220
Money coming in (sales)	$2.5M a year
Profit each year	**$586k**
No rent to pay: the owners run it	
Kept from every sales dollar	24 cents

Money to finish the halls and kitchens (one-time)	$4.3M
Events needed to cover its costs	113 a year
Rent an outside hall company could afford	$2.00 per square foot a year

Kids' indoor playground (a tenant)

IN SHORT
Makes $17.60 a year for every $100 it puts in; earns it back in 5.7 years

Money coming in (sales)	$1.1M a year
Profit before rent	$336k
Rent and its share of property costs	$142k a year
Rent of $4.50 per square foot a year	

Profit each year after rent	**$193k**
Money the operator puts in (one-time)	$1.1M
Profit each year for every $100 put in	$17.60
Years to earn back its money	5.7 years

Gas station and store (a fuel company renting the land)

IN SHORT
Thin at these fuel sales: $4.40 a year for every $100 it puts in

Fuel sold	100,000 gallons a month	Money the fuel company puts in (one-time)	$3.8M
Land rent it pays the property	$95k a year	Profit each year for every $100 put in	$4.40
Store profit each year after land rent	**$166k**	Years to earn back its money	22.9 years

A shop tenant

IN SHORT
Needs about $154 of sales per square foot a year so rent and shared costs stay at 10 cents of each sales dollar

Rent	$12.50 per square foot a year	Sales it needs	$154 per square foot a year
Its share of property costs	$2.95 per square foot a year	For a 1,500 square foot shop	$231k of sales a year

06 · ROOF COLUMNS IN THE HALLS

Both main rooms are planned with no columns

Four existing roof columns stand inside the two main rooms, two in each.

The 1997 drawings show existing roof columns on a ~44.5 ft grid, two inside each 11,000 SF main room. Every plan with halls takes them out and adds long steel beams (transfer girders) to hold the roof, so both rooms are open. A structural engineer must confirm the framing, footings and clear height before any binding commitment.

Taking them out is expected to cost $275k per column in the realistic case, $1.1M for all four. That is already counted in the build money of Lease everything, Full plan, Efficient full plan and Hybrid. Hybrid takes out Hall A's columns first and Hall B's when Hall B is added.

07 · BETTER OR WORSE

Why the realistic case could be wrong

The realistic case is a middle estimate from public information, not from contractor bids, surveys or signed tenants.

Why it could turn out better

The floor is confirmed above 250 ft. USGS lidar puts the ground 2–4 ft above the 248 ft flood level along about 85% of the walls. If an elevation certificate confirms the floor, flood work drops to the survey and fixes at the rear dock area.

Bids come in under desk estimates. Roof, HVAC and parking are the biggest swings. County permits show $249,911 of repairs in 2020 and a $423,850 alteration in 2012, so some systems may be newer than assumed. Coating a sound roof instead of replacing it saves about $0.3–0.8M.

Hall demand beats 220 events a year. Early commitments from families and caterers and a regional draw would lift bookings. The largest listed banquet halls in Jackson, MS hold about 350 guests.

The outparcels earn more. A quick-service pad on Summer Avenue and a credit fuel tenant add $100–230k a year in the best case.

Cheaper financing applies. SBA 504 loans need the owners' business to occupy at least 51% of an existing building. The halls alone are about 37%; running the kids' center as well brings it to about 52%.

Why it could turn out worse

Shops lease slowly. The retail sits deep in the site behind other buildings, and Summer Avenue is under construction until mid-2028.

Large as-is blocks sit empty. The building is empty, large blocks lease slowly, and Memphis big-box vacancy rose in 2026 as furniture stores left and IKEA announced it is closing its 270,000 SF Cordova store.

Bookings start slow. A new venue has no track record, and large 400+ guest events are a limited market: hotel ballrooms, the Esplanade and The Columns already compete for them.

The building hides costs. A 1984 building converting to assembly use can need more fire alarm (voice evacuation above 1,000 occupants), exit, restroom and electrical work than estimated. The budget's cushion for surprises covers some of this, not all.

Removing the columns costs more than assumed. The steel beams that replace the columns need sound footings at their ends and enough height below the roof. The budget is about $275,000 per column (about $1.1M for four); the closest documented job ran $207,000–480,000 per column.

The earthquake code applies. Memphis is near the New Madrid fault. If the large rooms together hold more than 2,500 people, the code can require strengthening the whole building, which could cost more than the columns.

The flood answer goes the wrong way. If the survey finds the floor below 250 ft, or the rear dock area blocks a FEMA map change, flood work and insurance rise toward the worst case.

The fuel pad stays empty. At realistic volumes a fuel company keeps only about $4 a year for every $100 it spends on a roughly $3.8M station, so a ground lease is not assured. The frontage parcel is also marketed on its own.

08 · NOT KNOWN YET

What is not known yet

Each of these is settled before any binding commitment.

Floor elevation

Elevation certificate and boundary survey: finished floor against the 250 ft requirement, and the ground at the rear docks.

Structure

Structural engineer: roof framing, column and footing capacity, clear height, and a price for removing four columns.

Building systems

Roof, rooftop units, electrical service, sprinkler riser and fire alarm: age and condition.

Zoning

City letter confirming event halls, indoor recreation and fuel in CMU-3, and the zoning of the frontage parcel.

Environment

Phase I environmental assessment covering the former quick-lube on the frontage.

Demand

Commitments or letters of intent from caterers, a hall operator, a playground operator and shop tenants.

Earthquake code

If the building's large rooms (over 300 people each) add up to more than 2,500 people, the 2021 building code can require earthquake strengthening of the whole building. Capping each hall's posted capacity is the likely fix; a structural engineer and the City must confirm.

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- 2021 IBC structural changes, Risk Category (STRUCTURE magazine) (https://www.structuremag.org/article/2021-ibc-significant-structural-changes/)

WORDS USED ON THIS PAGE

What the words mean

Worst, realistic and best case
Three sets of assumptions for costs, rents and bookings. The realistic case is the middle estimate; the other two show how far it could swing.

Money to build it (one-time)
Repairs, building work, finishing the inside, design and permits, a cushion for surprises, the cost of signing tenants, and holding the building while work goes on. It does not count what is paid for the property.

Money coming in each year
Rent from tenants plus sales from the halls where the owners run them, once the building is open.

Money going out each year
The yearly running costs: property tax, insurance, upkeep, management, a repairs reserve, empty space and unpaid rent, and the halls' staff, food and other costs.

Profit each year
Money coming in minus money going out, before any loan payments.

Years to earn back the build money
The one-time build money divided by the profit each year. Fewer years is better.

Profit each year for every $100 spent
The same idea the other way round: $10 a year for every $100 spent earns the money back in 10 years.

Typical investment property
A finished, rented property like this one usually sells for about 12 years of its profit. A plan that earns back faster creates value; one that takes longer is worth less than it cost to build.

The 10-year goal
This study's goal: earn back the build money in 10 years or less, which is $10 a year for every $100 spent.

Owner-run
Run by the owners' own operating company instead of being rented to another business.

Tenant's share of property costs
On top of rent, tenants pay their share of property tax, insurance and upkeep of shared areas.

Land lease
A business rents only the land, builds its own building on it and pays rent for the land.

Transfer girder
A deep steel beam that holds up the roof where a column used to stand, so the column can come out.

SF
Square feet.

SYCAMORE SQUARE

Planning estimates from public data and market research, 18 Oct 2026. Not an offer, appraisal or financial advice; numbers change with survey, flood, zoning and bids.

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